INVESTMENT COMMITTEE MEMO

Spectris plc: take-private at £41.75 per share

Leire Novo Huerta Rebuild of KKR's acquisition from the offer and financing documents October 2026

Recommendation. I would not have matched £41.75. My base case returns 14.6% a year (1.98x money) over five years, below an 18% hurdle. My walk-away price is about £37.12 a share, close to Advent's £37.63 opening offer. The winning price needs an exit near 20.5x EBITDA or a Scientific margin of about 27.5% by 2030, against a peak of 21.4%.

ENTRY EV	EV / FY2024 EBITDA	TERM DEBT	SPONSOR EQUITY	BASE-CASE IRR
£4,822m	**20.2x**	**6.4x FY24**	**£3,437m**	**14.6%**

THE BUSINESS AND WHY IT WAS FOR SALE

Spectris makes precision measurement instruments and software in two divisions: Spectris Scientific (FY2024 sales £776.7m, 17.7% margin) and Spectris Dynamics (£501.7m, 14.4%), serving pharmaceutical, semiconductor, academic and automotive customers. In 2024 like-for-like sales fell 7% and the adjusted operating margin dropped from 18.1% to 15.6%. Management's profit improvement programme targets more than £50m of run-rate savings by the end of 2026. Before Advent's approach the shares closed at £20.38, about 11x FY2024 EBITDA.

THE CONTEST

Bid	Date	Offer	Premium	EV / FY24	Equity	MOIC	IRR
Advent original	23 Jun 2025	£37.63	85%	18.4x	£3,020m	2.25x	**17.6%**
KKR first offer	2 Jul 2025	£40.00	96%	19.4x	£3,260m	2.08x	**15.8%**
Advent increased	1 Aug 2025	£41.00	101%	19.9x	£3,361m	2.02x	**15.1%**
KKR winning bid	5 Aug 2025	£41.75	105%	20.2x	£3,437m	1.98x	**14.6%**

Holding the operating case and KKR's debt constant, winning cost 3.0 IRR points against Advent's first price. The two sponsors financed very differently. Advent's commitment letter shows £1,750m of senior term loans and a £325m second lien, about 8.7x FY2024 EBITDA. KKR raised €975m and $900m of senior term loans, £1,520m or 6.4x, and put in about £972m more equity. KKR paid more for a safer capital structure, then sold up to 28.5% of the equity to co-investors including Neuberger Berman, Pathway and a Temasek vehicle.

FINANCING TERMS

KKR's published term sheet prices the term loans at 3.75% over Euribor and SOFR with a 0% floor, stepping down to 3.00% at 4.00x leverage; seven-year maturity; bullet repayment except 0.25% a quarter on the dollar tranche. The only financial covenant is a 10.00x springing test on the revolver when more than 45% drawn, so the term loans are effectively covenant-lite. Incremental debt is allowed up to 5.00x leverage plus the greater of £300m and 100% of EBITDA: a structure built for acquisitions. The fee letter sets underwriting fees of 1.75% (euro) and 2.25% (dollar) and a 1.00% OID, about £51m in total.

BASE CASE

£m	2026E	2027E	2028E	2029E	2030E
Scientific sales	917	977	1,040	1,108	1,180
Scientific margin	19.0%	20.0%	21.0%	22.0%	23.0%
Dynamics sales	522	546	570	596	623
Dynamics margin	15.8%	16.6%	17.4%	18.2%	19.0%
Adjusted EBITDA	281	312	346	383	423
EBITDA margin	19.5%	20.5%	21.5%	22.5%	23.5%
Free cash flow to debt	92	116	141	169	201
Net debt / EBITDA	4.9x	4.0x	3.2x	2.5x	1.8x

2025E combines H1 2025 actuals with an H2 estimate built from H2 2024, giving EBITDA of £253m; the entry EV is 19.1x that figure. Scientific grows 6.5% a year with its margin rising from 18.0% to 23.0%; Dynamics grows 4.5% with its margin rising from 15.0% to 19.0%. 2030E EBITDA of £423m at an 18.0x exit gives an enterprise value of £7,609m and equity of £6,791m after net debt and leases.

IRR BY PRICE AND EXIT MULTIPLE

Price	15.0x	16.5x	18.0x	19.5x	21.0x
£37.63	12.8%	15.3%	17.6%	19.7%	21.7%
£40.00	11.1%	13.6%	15.8%	17.9%	19.8%
£41.75	10.0%	12.4%	14.6%	16.7%	18.6%
£43.00	9.2%	11.6%	13.8%	15.8%	17.7%

Blue: at or above the 18% hurdle. Amber: below.

THE EXIT MULTIPLE

Listed peers with 25-32% EBITDA margins (Mettler-Toledo, Agilent, AMETEK, Halma) trade around 24x LTM EBITDA; lower-margin peers (Bruker, Oxford Instruments) around 19x. Precedents (Emerson/NI, Teledyne/FLIR, Arcline/OMEGA and both Spectris bids) cluster at 15-20.5x. An 18x exit sits between them for a business exiting at a 23.5% margin; 20x+ needs a re-rating into the premium group.

EQUITY CHECK

The syndication notices imply total equity of up to about £3.65bn against £3.44bn here. They state maximum interests on commitments of "up to" a given amount, the implied ceiling fell by about £118m between August and November, and certain-funds commitments carry headroom for currency moves and costs. The gap is a ceiling effect, not a missing use of funds.

KEY RISKS

- **Price.** At 20.2x FY2024 EBITDA, one turn of exit multiple moves the IRR by about 1.4 points.
- **End markets.** Academia, semiconductors and automotive drove the 2024 decline and remain cyclical.
- **Execution.** The plan needs Scientific's margin above its 2023 peak without cutting the R&D behind its pricing.
- **Rates and currency.** Floating-rate euro and dollar debt against sterling reporting.

WHAT WOULD CHANGE MY VIEW

A visible bolt-on pipeline at lower multiples than the entry price, which the incremental debt basket is designed to fund; margin progress beyond the savings programme; or evidence that the term loans priced tighter than the 3.75% in the commitment letter.

Independent analysis built only from public offer documents, financing documents published under Rule 26 of the Takeover Code, Spectris's results and market data. Not KKR's model; no private information used. Projections, base rates, advisory costs and exit assumptions are estimates. Full model: Spectris_LBO_Model_Leire_Novo_Huerta.xlsx.